money goes?' Or, 'I have nothing left to save.' Or the worst one: 'What investing plan – where is the money?'

One of the key reasons we make these statements is that we don't have an effective cash flow system. Everybody has money to save – from the poor woman who sells veggies to you on the roadside, to the tycoon driving by in his Bimmer – we just don't know how to look for it.

The key to finding the money to save and invest is to have a good cash flow system. Sounds like what a company does or the kirana store owner needs to do, and not a salaried professional, right?

Think of a cash flow system as simply a way to demarcate your money between spending and saving. Chances are that you do have a system in place but it is rough and not well-defined. Your system keeps your income and expenditure largely in sync, but you've not given it a defined form.

Money drops in each month and the living costs kick in immediately: rent or EMI gets debited; domestic help salaries get paid; utility bills are done; groceries are bought; fees are paid; travel costs are an ongoing daily expenditure as are lifestyle costs – shopping, gadgets, eating out, movies. The rest of the money goes off to pay the credit card bill, inflated from indulging in the end-of-season sale last month.

I know that a lot of the money conversation begins with efficient budgeting. We are told to write down every rupee we spend. To be meticulous about it. But I find that boring …

milk – Rs 150

eggs – Rs 100

petrol – Rs 2,500

coffee – Rs 100

lunch – Rs 600 …

Then tomorrow, the same exercise. And then again. Two things happen if you track each expense down meticulously. One, you get bored and junk the whole exercise after a week of being good. Two, you get obsessive about money